

# EM Fiscal R-Star: Where the Tensions Are

Mapping fiscal–monetary stress across 19 EMs using a new framework for measuring debt-stabilising real rates

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## A new way of looking at an old problem

Investors have spent the last two years asking the same question across emerging markets: how long can the current mix of high deficits and high real rates last before something breaks? It's the right question, but the traditional toolkit for answering it — debt-sustainability spreadsheets, primary-balance gaps, interest-growth differentials — tends to produce technically correct answers that miss what investors actually want to know. Will the central bank cave? Will the government consolidate? Will the bond market do the work instead?

A 2024 IMF working paper by Bolhuis, Koosakul and Shenai introduces a framework that gets closer to the heart of this question. They call their concept **fiscal R\***, and the simplest way to think about it is as the mirror image of monetary R\*. Where monetary R\* asks *what real rate would keep the economy at potential*, fiscal R\* asks *what real rate would keep the debt stock stable*. Both are real rates. Both are equilibrium concepts. And critically — **they don't have to agree**.

When they do agree, life is comfortable: the central bank can run policy at neutral and the fiscal authority can run its planned primary balance, and debt sits still. When they disagree, something has to give. If monetary R\* is higher than fiscal R\*, the neutral policy rate is more than the public finances can absorb — either the government tightens, or the central bank runs policy below neutral to keep debt serviceable, or the bond market eventually demands compensation in the form of wider term premia and a weaker currency. The first path is fiscal consolidation. The second is fiscal dominance. The third is a slow-burn loss of credibility that shows up in real bond returns. The IMF authors call the difference between the two rates the **fiscal-monetary gap**, and they document that historically, large gaps have preceded virtually everything investors worry about: rising debt, higher inflation, currency weakness, financial repression, and elevated crisis risk.

The framework was developed for advanced economies, but the cross-country picture it produces in EM is, if anything, more revealing. **In this note we apply the IMF formula consistently across 19 EMs and rank them by the gap.** The headline result: seven countries — concentrated in CEEMEA and LatAm, with KOR and THA the Asian outliers — sit in a clear tension zone where fiscal arithmetic and monetary policy are pulling in different directions. A handful of high-growth Asian economies sit comfortably on the other side. The space between is where the most interesting credit stories live.

## The mechanics, briefly

The formula falls out of the standard debt-accumulation equation. If you set the change in debt to zero — i.e. ask what real rate would leave the debt ratio unchanged given the country's growth path and primary balance — you get:

$$R^*_{\text{fiscal}} = g + (pb^*/d) \times (1 + g + \pi) - TP$$

where  $g$  is trend real growth,  $pb^*$  the targeted primary balance (% of GDP),  $d$  the debt stock,  $\pi$  the inflation target and  $TP$  the term premium (subtracted so that fiscal R\* is on a short-rate basis, directly comparable to monetary R\*). The intuitions are simple. Faster growth lifts the real rate the country can sustainably bear — strong growth is the friend of fiscal arithmetic. A more positive primary balance does the same: countries running surpluses can afford higher real rates without explosive debt dynamics. And a higher debt stock works the other way, because any given fiscal slippage translates into a larger move in the debt ratio. The  $(1+g+\pi)$  factor is a small unit-conversion correction that normalises the nominal-over-nominal debt ratio, typically worth 5–40bp.

Two things to keep in mind when reading the chart. First, this is not a forecast — it's a steady-state concept. Fiscal R\* tells you the real rate that *would* stabilise debt if growth, the primary balance and inflation came in at their assumed paths. It is silent on whether that path is realistic. Second, the country economists' inputs (particularly the targeted primary balance) embed assumptions about consolidation that may or may not be delivered. We've used target primary balances throughout for consistency; if you prefer to assume current rather than targeted fiscal stance, several countries (notably the LatAm and CEEMEA tension cases) would look worse, not better.

### Three groupings, one warning signal

Sorting the 19 EMs by the gap produces a clean tripartite split. Seven countries sit in genuine tension. Seven hover within a percentage point of neutral. Five enjoy clear fiscal headroom. The dispersion across regions is striking — Asia dominates the comfortable end, CEEMEA and LatAm the stressed end — but as we'll see, the regional pattern is partly driven by where neutral policy rates sit, not just by fiscal positions.

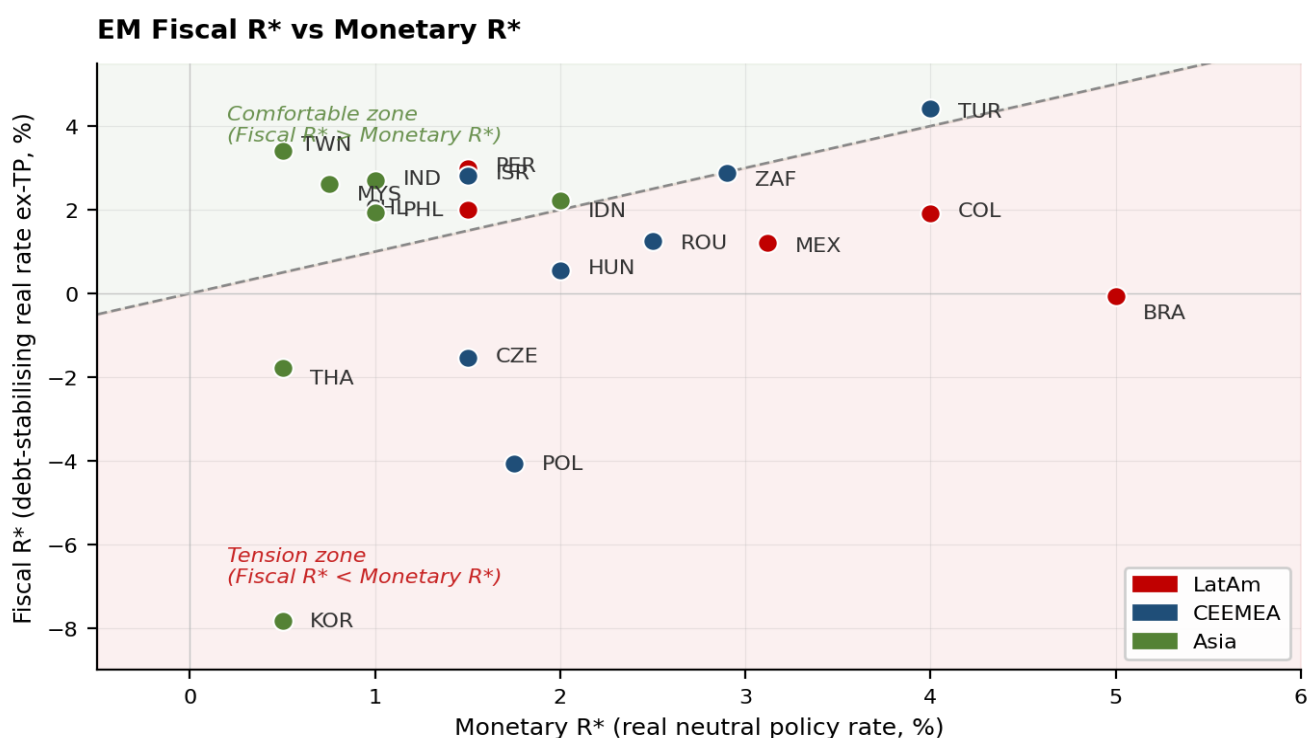


Chart 1. Fiscal R\* vs Monetary R\*. Points below the 45° line are in the tension zone (fiscal R\* < monetary R\*). Source: J.P. Morgan country economists; calculations apply IMF WP/24/174 formula consistently across countries.

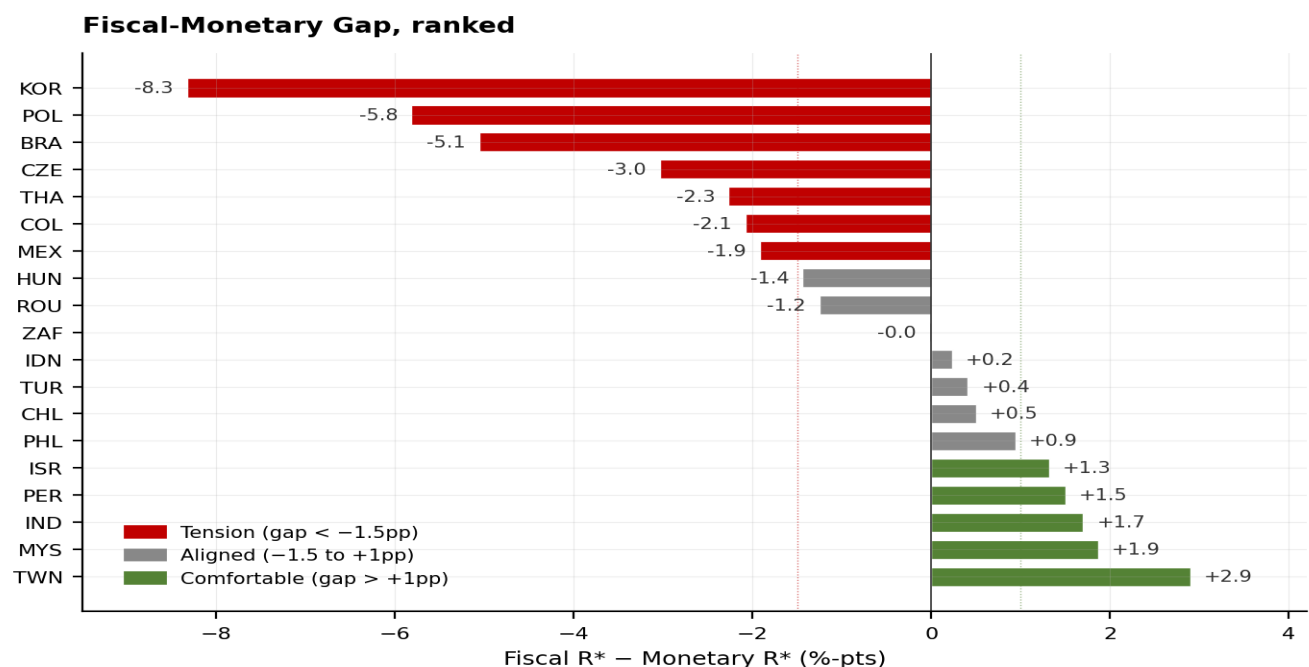


Chart 2. Fiscal-Monetary gap across 19 EMs. Negative values flag fiscal-monetary tension. Source: J.P. Morgan; calculations using IMF WP/24/174 framework.

### The tension zone (gap below -1.5pp)

**KOR, POL, BRA, CZE, THA, COL, MEX.** These seven countries share the same uncomfortable property — the real rate that would stabilise debt is lower than the real rate the central bank thinks is neutral — but the underlying mechanics differ enough to be worth distinguishing.

Brazil's –5pp gap is the canonical fiscal dominance candidate. The combination of a 5% real neutral rate and a fiscal arithmetic that barely stabilises debt at zero real rates means the BCB cannot run policy at neutral without putting debt on an explosive path. This has been the story for several years, and it is visible in the persistently elevated term premium and the periodic episodes of fiscal–monetary friction. Korea's –8pp is the most extreme reading in the sample but for a different reason: a wide structural primary deficit (pb of –5.6% of GDP) against a debt stock that is rising fast. The deficit, not the neutral rate, is doing the work. Poland's –5.8pp is similar in spirit — a structural deficit that the current consolidation plan does not narrow enough — though the gap could compress meaningfully if the government delivers the post-2025 fiscal tightening.

The LatAm names (COL, MEX) are different again: their term premia of 2–3pp are doing much of the work, which suggests the bond market is already pricing the tension. That changes the policy implications. In Brazil, the question is whether the central bank will hold the line; in Colombia and Mexico, the bond market is already extracting compensation, and the question is whether term premia tighten further or release. Czech Republic and Thailand sit closer to the –2pp boundary and represent milder versions of the same setup.

### The aligned zone (gap –1.5 to +1pp)

**HUN, ROU, ZAF, IDN, TUR, CHL, PHL.** This is the comfortable-but-not-easy middle. Fiscal arithmetic and monetary policy are roughly compatible, but in several cases the alignment is at high real rates — Turkey's 0.4pp gap masks both fiscal  $R^*$  and monetary  $R^*$  sitting at around 4% real, which is alignment in the most expensive sense of the word. South Africa is right on the line, with a tight fiscal target offset by a sizeable term premium. The Asian member of this group, Indonesia, sits at +0.2pp on tight fiscal discipline; the Philippines at +0.9pp is supported by strong real growth.

### The comfortable zone (gap above +1pp)

**ISR, PER, IND, MYS, TWN.** Strong real growth carries the fiscal arithmetic in most of these cases. India's 6.5% trend growth lets debt stabilise at real rates well above the neutral policy rate even with a sizeable primary deficit. Peru and Israel benefit from low debt stocks and credible fiscal frameworks. But the comfortable cluster contains an important caveat: **some of the apparent headroom is an artefact of unusually low neutral policy rates rather than fiscal strength per se.** Taiwan's +2.9pp gap is the clearest case — the gap is wide because monetary  $R^*$  is 0.5%, not because fiscal  $R^*$  is high. Malaysia is similar at +1.9pp. If the global cycle pushes Asia's neutral rates higher over the medium term, several of these comfortable readings will compress.

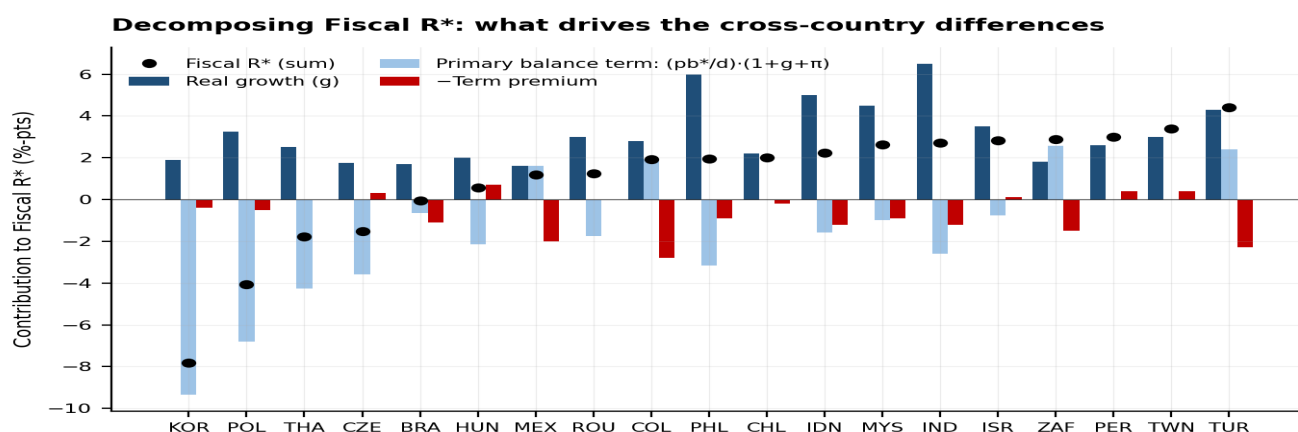


Chart 3. Decomposition of fiscal  $R^*$ . Real growth (navy) and the primary-balance term (light blue) are the two main drivers; the term premium subtracts (red). Black dots show the resulting fiscal  $R^*$ . Source: J.P. Morgan country economists; IMF WP/24/174. Term premia for ISR, IDN, MYS, PHL, TWN approximated from 5Y averages ( $\pm 20$ –30bp). Country economists' original estimates available on request.

### Bottom line

The fiscal-monetary gap is most useful as a credibility indicator. It tells you, country by country, where the equilibrium between the two policy authorities is under strain — and therefore where the next adjustment is most likely to come. **Where the gap is wide and persistent, the question is no longer whether something adjusts, but which authority bears the burden.** In Brazil, the eyes are on the central bank. In Korea and Poland, on the fiscal authority. In Mexico and Colombia, the bond market is already adjusting. The comfortable cluster looks benign for now, but the comfort is partly cyclical: a higher global neutral rate would compress several of those gaps quickly. For positioning, this argues for elevated term-premium and FX credibility risk premia in the tension zone, and for caution about extrapolating the current configuration in the comfortable zone if the global rate cycle turns.